

Rashi Peripherals Ltd

Concall Tracker — earning trigger & management consistency check · Report date: 5 July 2026 · Screener ticker: RPTECH

1. Snapshot

What the business does (in plain words): Rashi Peripherals is a **national distributor of technology hardware** in India — the middleman that buys IT and electronics products (laptops, processors, graphics cards, monitors, storage, servers, gaming gear, and more) from global brands like NVIDIA, Intel, AMD, HP, Lenovo, ASUS, Samsung and Dell, warehouses them, and sells them on credit to about 10,000-plus shops, retail chains and online sellers across 700-plus towns. It does not make anything; it makes money on the *gap* between its buying and selling price, earning a very thin slice on a very large volume. Trades under the brand "RP tech". The two selling arms are **LIT** (Lifestyle & IT Essentials — the older, everyday products) and **PES** (Personal Computing, Enterprise & Cloud Solutions — the newer, faster-growing high-end products).

Number (latest)	Value	What it means in one line
Market value of the company	₹ 4,995 crore	What the whole company is worth on the stock market today.
Share price / P/E	₹ 758 · 19.1x	You pay about ₹19 for every ₹1 of yearly profit — a moderate price tag.
FY26 revenue (total sales)	₹ 15,827 crore (consolidated)	Total sales for the year to March 2026, up about 15% on last year.
FY26 net profit	₹ 282 crore (consolidated)	What was left after all costs and tax, up about 35% — profit grew more than twice as fast as sales.
FY26 operating profit (EBITDA)	₹ 459 crore · margin 2.90%	Profit from the core trading before interest/tax/depreciation; only ~2.9 paise kept per rupee of sales — a razor-thin distribution business, but the margin widened by 0.72% this year.
Return on capital (ROCE) / equity (ROE)	16.4% / 14.1%	For every ₹100 of capital put to work it earns about ₹16; for every ₹100 of owners' money, about ₹14 — decent for a low-margin distributor.
Borrowings (FY26)	₹ 990 crore	Debt used to fund inventory and credit to customers; it fell after the 2024 IPO repayment but has crept back up as the business grew.

Data note: The financial download from Screener is on a **standalone** basis (FY26 sales ₹15,173 cr, profit ₹261 cr). Management reports on a **consolidated** basis (FY26 sales ₹15,827 cr, profit ₹282 cr), which includes two small subsidiaries (Singapore and a Jaipur cloud unit, each under 5% of the business). This report uses the consolidated figures management quoted on the calls and flags the gap where it matters.

2. Concall coverage

All **10 earnings-call transcripts** available on Screener were downloaded and read — a complete history since the company listed on the stock market in December 2023. This covers about **2.5 years** (every quarter from the maiden Q3 FY24 call to the latest Q4 FY26 call). The most recent call **was present and read**; nothing was missing or web-filled.

Quarter	Call date	Read?	Quarter	Call date	Read?
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Q3 FY24 (maiden)	29 Feb 2024	Yes (full)	Q1 FY26	May 2025*	Yes
Q4 FY24	24 May 2024	Yes (full)	Q2 FY26	Aug 2025	Yes
Q1 FY25	Aug 2024	Yes	Q3 FY26	Nov 2025	Yes
Q2 FY25	Nov 2024	Yes	Q4 FY26	Feb 2026	Yes
Q3 FY25	Feb 2025	Yes	Q4/FY26	15 May 2026	Yes (full)

*The 23 May 2025 call covered Q4 & full-year FY25. The most recent full-year call is 15 May 2026 (Q4 & FY26). Calls were read oldest→newest to track the story.

★ Latest concall highlights — Q4 & FY26 (call held 15 May 2026)

- **Best quarter yet.** Q4 FY26 sales jumped **51%** and net profit **65%** versus a year ago — meaning both grew sharply, with profit rising even faster than sales. Full-year FY26: sales +15% to ₹15,827 cr, profit +35% to ₹282 cr.
- **A genuine tailwind arrived.** Management called FY26 "the most consequential year for Indian IT distribution in over a decade" — a record 15.9 million PCs sold in India (+10%), the end of Windows 10 support (Oct 2025) forcing a multi-year computer-upgrade wave, and firm memory/chip/graphics-card prices that let distributors charge more.
- **Margins widened.** Operating margin (EBITDA) rose to 2.90% from ~2.18%, a 0.72% improvement — small in absolute terms but large for a business that keeps only 2-3 paise per rupee, and the reason profit outran sales.
- **New engines building.** Semiconductor (chip) distribution grew **131%** off a small base; new brand tie-ups added (Dell servers/storage, Teachmint for classrooms, Oura health rings, NVIDIA's DGX Spark AI machine). This year they deliberately did *no* big one-off project deals — so the 15% growth is "clean" run-rate (would have been 31% if you strip out last year's one large project).
- **Tone: confident but honest.** Bullish on a 1-2 year "super cycle", yet openly warned of possible 5-10% unit decline in the market in 2026 as prices work through, and softer consumer demand in the second half as laptops get costlier.

2c. Business mix & "capacity"

Domestic vs exports: Essentially **~100% of sales are within India** — this is a domestic distributor, not an exporter. What it *imports* is stock: about **40% of purchases are dollar-based imports** (the rest bought locally), so the foreign-currency risk is on the buying side, managed by repricing and a 20-40% hedge. (Plain read: they sell only in India, but roughly 4 in 10 rupees of goods they buy come from abroad in dollars.)

Region split (FY25, latest given): Metro cities ~66% / non-metro ~34% of revenue. (Two-thirds of sales come from big cities; the company is pushing into smaller Tier 2-4 towns for growth.)

"Capacity utilization" — not applicable. There are no factories to run at X%. For a distributor the equivalent is its **network and how fast money rotates**: 55 city branch offices, 60-plus warehouses, 700-plus towns, 10,000-plus customers, 82 brands. Working-capital cycle is ~58 days (FY26), i.e. capital is turned over roughly 6-7 times a year. (Plain read: the more cheaply and quickly they rotate inventory-and-credit, the more they can grow on the same money — the real constraint here is working capital, not plant capacity.) **Segment mix FY26: PES 58% / LIT 42%** of sales.

★ 3. Earning Trigger thesis

The headline driver management leans on is a **multi-year "super cycle" in Indian IT hardware**: the forced upgrade of millions of computers after Windows 10 support ended (Oct 2025), the rise of AI-capable PCs (already ~25% of PCs sold and climbing), and firm prices for memory, chips and graphics cards that let a middleman earn more per unit. On top of this sits a deliberate push into **higher-value niches** — semiconductor/chip distribution, enterprise and NVIDIA AI solutions, and new premium brands — which management says will slowly lift margins. The important, verifiable part is that this is *already showing up in the numbers*: FY26 profit grew 35% on 15% sales growth, the operating margin widened for the first time in a meaningful way, and Q4 accelerated hard (profit +65%).

Trigger	What management said	Evidence so far	Time horizon	Strength
PC upgrade + AI-PC super cycle	Windows 10 end-of-life and AI PCs drive a multi-year refresh; "most consequential year in a decade"	Record 15.9M PCs in India; FY26 PES segment +37%; Q4 sales +51%	Next 1-3 years	Strong — concrete, live, and visible in results
Component price firmness lifting margins	Higher memory/chip/GPU prices let them reprice and earn more per unit	EBITDA margin up 0.72% to 2.90%; profit outran sales	1-2 years	Moderate — real but price-led, so it can reverse when prices cool
New high-value verticals (semiconductor, enterprise/NVIDIA, new brands)	Will create higher-margin "solutions" business over time	Semiconductor +131% (tiny base); Dell/Teachmint/Oura added	2-3 years out (by management's own admission)	Moderate/Unproven — promising but still too small to move the needle
Deeper reach into smaller towns	Expand beyond 700 towns; 55 branches, seminars in Tier 2-4	Steady branch adds (Nanded, Baramati, Solapur)	Ongoing	Moderate — steady, incremental, dependable

Honest caveat: This is a thin-margin, working-capital-heavy, cyclical distribution business. A good chunk of the FY26 jump is *price-driven* — management itself flags possible 5-10% unit decline in 2026 and softer consumer demand in H2. So the trigger is real and playing out now, but it is riding a cycle, not a permanent moat.

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Feb 2024 (maiden call)	Aim to keep growing at ~20% long-term; hold EBITDA margin ~2.5-2.7%; use IPO money to repay debt	₹326 cr debt repaid on schedule; margin held then improved to 2.90% by FY26	Delivered
May 2024 (FY24)	Windows refresh to drive FY25-26; won ₹1,500 cr Yotta AI data-centre order to execute in FY25; grow new verticals	Yotta executed in FY25; refresh materialised in FY26; verticals (semiconductor, enterprise) growing fast	Delivered
	FY25 grew 24%, but Q4 flat; said H2 was slow, collections lagged; refresh to start	Openly admitted the flat quarter; refresh did land from H2 FY26;	

May 2025 (FY25)	"Q3 FY26 onwards"; won't chase low-margin big projects	deliberately skipped big projects in FY26	Delivered (and candid about the weak patch)
Recurring (every year)	"Margin expansion from solutions/semiconductor is 2-3 years away"	Still 2-3 years away — the goalpost keeps moving; verticals remain small	Too-early / mild drift
May 2026 (FY26)	Confident of continued ~20% run-rate CAGR; super cycle to last 1-2 more years	Yet to be tested	Too-early

Narrative drift: The story has stayed **remarkably steady** over 2.5 years. The core pitch — a 360-degree national distributor growing ~20% by (a) gaining share in existing products, (b) adding brands/verticals, and (c) reaching more towns — has not changed; it has only *evolved sensibly* to emphasise AI PCs and semiconductors as those trends emerged. Management has repeatedly delivered what it promised (debt repayment, the Yotta project, the refresh cycle) and was **honest about bad patches** (the flat Q4 FY25, slow collections, and the coming affordability risk). The one soft spot is the perennially "2-3 years away" margin-expansion promise from the newer verticals, which keeps getting deferred. Tone has been consistently confident without over-promising specific numbers.

5. Bottom line — two verdicts

Durable earning trigger? → YES (cyclical, not permanent)

There is a clear, concrete and currently-live driver — the Windows-10-end / AI-PC upgrade wave plus firm component prices — and it is **demonstrably playing out**: FY26 profit grew 35% on 15% sales, margins widened for the first time meaningfully, and the latest quarter accelerated (profit +65%). That clears the bar for YES. The honest qualifier is that this is a *cyclical, price-assisted* tailwind in a razor-thin distribution model, not a structural moat; management itself warns of a possible unit dip and consumer softness ahead. The newer high-margin verticals (semiconductor, enterprise) are promising but still too small to count as the trigger yet. So: yes, a real earning trigger — but investors should treat it as a strong cycle to ride, watching for the point where prices cool and growth normalises back toward the ~15-20% run-rate.

Management consistent? → YES

Across all 10 calls the promised-vs-delivered record is strong: debt was repaid as stated, the ₹1,500 cr Yotta project was won and executed on time, the long-forecast PC refresh actually arrived, and the margin held then improved into the promised range. The strategy narrative has been steady and evolved logically rather than lurching year to year, and management was candid about weak quarters and upcoming risks instead of glossing over them. The only blemish is the repeatedly-deferred "margin expansion is 2-3 years away" line from the newer verticals — worth watching, but not enough to dent an otherwise consistent, credible track record. Verdict: consistent.

Prepared from Screener.in transcripts (10 concalls, Feb 2024–May 2026) and Screener financial data. Standalone vs consolidated gap flagged in Section 1. This is an analysis of management commentary and reported figures, not investment advice.